



Mahindra Logistics Q4FY22 Revenue was below expectations however EBIDTA margins improved YoY and QoQ basis

- **Revenue** for Q4FY22 increased by 10% to Rs 10727mn, mainly led by 11% rise in SCM business that grew to Rs 10450mn.
- **EBIDTA margins** stood at 5.1% v/s 4.7% YoY and 4.3% QoQ as company was able to pass on rise in fuel expenses and growth in value added business
- **Transportation led logistics business grew only by 3.3% to Rs 7887mn where as Warehouse and services business grew by 47% YoY to Rs 2566mn, which also has higher margins.**
- PAT (owners) declined by 17% to Rs 177mn mainly due to 43% jump in Depreciation and 62% jump in Interest cost. Both these costs were up due to higher lease, led by rise in Warehouse space to 13.4mn sqft v/s 11.7mn YoY (accounted in Interest and Depreciation as per IND-AS 116)

Outlook:

- MLL added 2.3mn sqft warehouse space in FY22.
- As productivity of new large-size warehouse improve leverage will flow-through in profitability.
- Also pick-up in farm and auto business in general would be crucial for performance.
- Freight-forwarding i.e. Lords did extremely well and outlook remains strong.

Rating	TP (Rs)	Up/Dn (%)
Book Partial Profits.	525	2

Market data

Current price	Rs	517
Market Cap (Rs.Bn)	(Rs Bn)	37
Market Cap (US\$ Mn)	(US\$ Mn)	486
Face Value	Rs	10
52 Weeks High/Low	Rs	821 / 391.1
Average Daily Volume	('000)	48
BSE Code		540768
Bloomberg		MAHLOG.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	58.18	58.18
Public	41.82	41.82
Total	100	100

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	34,711	32,636	40,830	49,487	58,973
EBIDTA	1,582	1,341	1,977	2,659	3,602
Margins	4.6	4.1	4.8	5.4	6.1
PAT (adj)	551	319	371	654	1,261
growth (%)	(35.7)	(42.0)	16.0	76.4	92.9
EPS	7.7	4.5	5.1	9.1	17.5
P/E (x)	66.8	115.4	99.8	56.6	29.3
P/B (x)	6.8	6.5	6.3	5.8	5.0
EV/EBITDA (x)	23.8	27.6	19.5	14.8	10.5
RoE (%)	10.1	5.6	6.3	10.3	16.9
ROCE (%)	11.5	5.3	6.4	10.8	16.7

Source: Dalal and Broacha

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SEGMENTS

SCM Business (97% Revenue)

- MNM business growth was 7% lower than 16.5% growth in Non-MNM SCM business.
- Contribution for Non-MNM SCM business also grew to 47.6% v/s 45% YoY, aided by new client addition as well as contribution from the large Bajaj Electrical contract.
- Additionally Non-MNM SCM auto business declined by 14% on a YoY basis due to demand and chip-shortage issue in Auto industry.
- Overall PBIT margins in SCM business grew on a QoQ basis to 6.1% v/s 5.4%, however lower than 6.9% on a YoY basis due to lease impact.
- Warehouse and solutions business in the Non-MNM SCM business grew by 53% as against 0% growth in the transportation business. Its contribution to overall business improved to 19% v/s 14% YoY.

Enterprise Mobility: (3% of Revenue)

- PTS Revenue was impacted due to wave-3 down by 23% YoY and -36% QoQ.
Business is expected to pick up gradually.
- **Meru Acquisition:** announced in November 2021, will add on-call services to PTS with better B2B and B2C services, will add 250 EV's under this. Synergies would come in in terms of a) overhead management & technology, sales and marketing b) fleet optimization and c) demand optimization. Will have some negative impact in the initial period but have better earning v/s Meru's past.
- Meru acquisition is expected to be completed by mid Q1FY2.
- Meru Business loss for FY22 stood at Rs~200mn lower on a YoY basis. EBIDTA break-even was achieved.
- Expect PTS (enterprise mobility) to remain under pressure

Other Points

- Overall Network: Network Hubs 50+ ||Customers 300+ ||Active Business partners 1450+|| Operating Locations 200+|| Drivers 6000+ || vehicles deployed per day 5500+
- Grade 'A' warehouse space increased from 11.7mn sqft in Q1FY22 to 13.4mn sq ft in Q4FY22 (11.1mn sqft FY21)
- Overall space under management stood at 17.5mnsqft

Conference Call Highlights

DEMAND (Overall)

- Overall logistics solution is witnessing an improving trend
- Expected rise in interest rates will have short-term implications
- Global supply chain fragile due to shortages in containers and geopolitical reasons which has impacted supplies of MLL's customers, in this environment technology is the key lever for driving customer efficiency
- Multimodal movement has picked up in commodities and automotive sector
- Drive towards network expansion and omni channel fulfilment is gaining traction to fulfilment logistics, last mile delivery and increased demand for integrated solution

BUSINESS (Automotive)

- Semiconductor chip shortage continues, and structural improvement will take few quarters from now.
- PV demand has shown some traction but semiconductor issue and price hikes is impacting sales.
- 2W performance remains muted and rise in fuel prices is impacting Rural demand
- 2W and CV demand remains volatile due to rise in fuel cost as well as freight rates

BUSINESS (Farm & Agro)

- Tractor market has seen slowdown (on a YoY basis) and continues to be an overhang due to significant base effect and unseasonal rains.
- Outbound movement in tractors was slow for MLL as well,

BUSINESS (E-Commerce)

- Demand strong but still lower than expected
- Capacity added are not fully utilized especially in 1st to mid-mile
- Last Mile business in-general for industry remains good.
- Business expected to grow at 30% CAGR

BUSINESS (Consumer Pharma, FMCG and consumer durable)

- New Wave of Covid has led to some increase in Stocking activity
- Specific products in durables such as Air-Conditions have picked up but overall Rural and Urban activity still muted
- Modern trade and E-commerce growth was witnessed; discretionary category witnessed growth aided by improved mobility and increased footfalls and larger no of social events and uptake in wedding demand.

BUSINESS (International Freight & Forwarding & 2x2 logistics {part of subsidiary})

- Global supply chain remained overheated with shortage in containers and capacity issues which has led to shortage led inflation across board in air/ocean products.

- Segment is benefiting due to positive pricing environment but margins remain under pressure. MLL's growth was strong and focus was diversifying offering base.
- Using more ocean routes v/s Air in Freight Forward business to improve margins.
- Lords PAT improved to ~Rs 160mn v/s Rs 65mn YoY.
- Other Subsidiary i.e. 2x2 logistics which is mainly car-carrier was impacted on account of volatile demand and higher down-time. Drop in subsidiary margins was mainly led by 2x2 logistics.

BAJAJ ELECTRICALS

- Bajaj Electricals account optimisation of supply chain, which typically has higher costs, will be completed by Q1FY23. The management expects favourable margins to flow in from thereon

Mahindra Logistics acquires ZipZap Logistics (Whizzard) for Rs 71.7crs i.e. 0.8x Sales

A

- Cost of Acquisition: Rs 71.7crs (0.8x Sales of Rs 88crs in FY21)
- 1. 43972 FV Rs 1 share @ Rs 6692.02 premium = Rs 29.4crs
- 2. 63200 CCPS @ Rs 6593.02 each = 41.7crs
- Total 1+2 = Rs 71.7crs
- % Stake to be acquired : 60% of Whizzard (i.e. ZipZap Logistics Pvt Ltd)

B

- Business: tech-enabled last-mile delivery + intracity distribution network logistics company
- >60mn packages handled per year
- >125 microdistribution centres
- >3000+ pincodes across India

C

- Turn Over: FY21 Rs 88.38crs || FY20 Rs 74.72crs || FY19 Rs 7.75crs

The acquisition is in line with MLL vision to expand its last mile delivery network

FINANCE AND OPERATIONS

- Higher Flex-solutions warehouse led to rise in manpower cost and the utilization levels were lower than anticipated.
- Margins in Warehouse & services v/s transportation is higher by 400bps.
- Business Break-up broadly 70% integrated solutions, 25% Network Services and 5% mobility
- **Interest and Depreciation** is high as due to IND-AS 116 the cost charges are frontloaded which impacts earnings in the short-term compared to previous model, but through the life cycle of the project in the later years it comes back and normalizes. Also the newer warehouse have slightly higher rate as well.

Quarterly Financials

MAHLOGISTICS (Rs Mns)	Q4FY22	Q4FY21	YoY Growth	Q3FY22	QoQ Growth
in MNs					
Sales	10726.80	9740.00	10%	11178.80	-4%
Total operating Income	10726.8	9740	10%	11178.8	-4%
Other income	56.9	46.50	22%	26.2	117%
Total Revenue:	10783.70	9786.5	10%	11205.00	-4%
Expenses:-					
Raw Mat Cost	42.70			38.50	11%
% to Operating Income	0%			0%	
Freight Expenses & Other Exps	9138.9	8333.8	10%	9686.5	-6%
% to Operating Income	85.2%	85.6%		86.7%	
Employee benefit expenses	765.8	709	8%	766	0%
% to Operating Income	7.1%	7.3%		6.9%	
Other expenses	229.8	235.6	-2%	211.2	9%
% to Operating Income	2.1%	2.4%		1.9%	
Total Expenses	10,177.20	9,278.40	10%	10,702.20	-5%
EBITDA (exc OI)	549.60	461.60	19%	476.60	15%
EBITDA Margin %	5.1%	4.7%		4.3%	
EBITDA (inc OI)	606.50	508.10	19%	502.80	21%
Depreciation	373.9	260.8	43%	357.1	5%
PBIT	232.60	247.30	-6%	145.70	60%
Interest	90.7	56	62%	74.5	22%
PBT (Before Exceptional)	141.90	191.30	-26%	71.20	99%
Exceptional Item	0.00	27.50		0.00	
PBT (post Exceptional)	141.90	163.80	-13%	71.20	99%
Tax expenses	30.8	39.7	-22%	20.5	50%
<i>Tax Rate</i>	<i>22%</i>	<i>24%</i>		<i>29%</i>	
PAT (reported)	111.10	124.10	-10%	50.70	119%
MI	-11.1	-1.2	825%	-6.2	79%
Share of loss of JV	0.1	0.5		0	
PAT (owners)	122	146.63	-17%	57	115%
NPM	1.13%	1.50%		0.51%	
Equity	718.7	716.7	0.3%	718.6	0%
EPS	1.70	2.05	-17%	0.79	115%
SEGMENT RESULTS					
SCM (Total A+B)	10452.40	9383.10	11%	10749.50	-3%
<i>Non-Mahindra SCM (A)</i>	<i>5106.0</i>	<i>4381.00</i>		<i>5899.0</i>	
<i>Mahindra SCM (B)</i>	<i>5346.0</i>	<i>5002.10</i>		<i>4850.5</i>	
PTS Revenue	274.4	356.9	-23%	429.3	-36%
Total Operating Income	10726.80	9740.00	10%	11178.80	-4%
PBIT					
SCM	639.7	648.5	-1%	578	11%
PBIT Margins	6.1%	6.91%		5.4%	
People transport solution	2.7	19.3	-86%	22.9	-88%
PBIT Margins	1.0%	5.41%		5.3%	
Total	642.4	667.8	-4%	600.9	7%
PBIT Margins	6.0%	6.9%		5.4%	

Source Dalal and Broacha

Outlook & Valuation

Auto business volatility expected to continue improvement to come-in in the later half of next fiscal

Farm and Agro outbound impacted due to base effect , however manufacturing activity continued

Consumer, Pharma and FMCG business witnessed witnessing growth in some pockets in anticipation of 3rd wave

Going Forward:

Bajaj Electricals contract will stabilize by next fiscal

MLL signs most of solutions and warehousing services contracts with a minimum guaranteed volume and there is a volume flow through which works and as volume picks up MLL sees greater leverage in earnings which absorbs operating cost. As the utilization of these will improve profitability is expected to improve

The company has building blocks in place with investments in technology

MLL logistics has an aspiration to reach Rs 10000crs revenue and a warehouse space addition of 20mn sqft (over a 5 year period) of which 4mn sqft has been contracted already. In addition to this the profitability is also expected to improve.

At CMP of Rs 514 Mahindra Logistics trades at 57x FY23e EPS of Rs 9.1 and 29x FY24e EPS of Rs 17.5. We are positive on the longer term opportunity in the logistics space but believe the stock is fully valued at current levels from a short to medium term perspective We change our recommendation from **HOLD** to **Book Partial Profit**

Financial

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	34,711.0	32,636.2	40,830.3	49,487.4	58,973.2	Net Profit	550.8	319.5	370.7	653.8	1,261.3
Freight Expenses	(29,341.6)	(27,643.0)	(35,038.9)	(42,468.1)	(50,349.5)	Add: Dep. & Amort.	734.3	896.5	1,345.1	1,506.6	1,587.3
Employee Cost	(3,066.6)	(2,964.6)	(3,000.0)	(3,360.0)	(3,864.0)	Cash profit s	1,285.1	1,216.0	1,715.8	2,160.4	2,848.6
Other Expenses	(720.5)	(687.4)	(814.8)	(1,000.0)	(1,157.6)	(Inc)/Dec in					
Operating Profit	1,582.3	1,341.2	1,976.6	2,659.3	3,602.0	Sundry debtors	(105.4)	500.3	62.0	(1,985.1)	(1,299.4)
Depreciation	(734.3)	(896.5)	(1,345.1)	(1,506.6)	(1,587.3)	Inventories	-	-	-	-	-
PBIT	848.0	444.7	631.5	1,152.7	2,014.7	Loans/advances	-	150.0	-	-	-
Other income	139.8	174.7	121.9	95.0	77.2	Other Current Assets	(535.4)	(1,191.2)	(403.0)	(624.3)	(755.4)
Interest	(176.3)	(200.9)	(295.2)	(366.3)	(391.5)	Current Liab and					
PBT	811.5	418.5	458.2	881.4	1,700.5	Provisions	(127.3)	207.1	15.2	102.9	116.2
Extraordinary Fixed term						Sundry Creditors	171.1	1,489.1	927.2	720.1	1,037.7
consultant fees	-	-	-	-	-	Change in working					
Profit before tax (post						capital	(597.0)	1,155.3	601.4	(1,786.5)	(900.8)
exceptional)	811.5	418.5	458.2	881.4	1,700.5	CF from Oper.					
Provision for tax	(257.4)	(100.2)	(112.5)	(221.8)	(428.0)	activities	688.1	2,371.3	2,317.2	373.9	1,947.8
Reported PAT	554.1	318.3	345.7	659.5	1,272.5	CF from Inv. activities	(1,878.7)	(2,558.3)	(3,582.1)	(1,055.3)	(527.7)
MI	2.8	12.1	24.9	(5.8)	(11.2)	CF from Fin. activities	1,486.4	1,168.4	610.2	236.8	125.2
Net Profit	556.9	330.4	370.6	653.7	1,261.3						
Adjusted Profit (excl						Cash					
Exceptionals)	550.8	319.5	370.7	653.8	1,261.3	generated/(utilised)	295.8	981.4	(654.7)	(444.7)	1,545.3
						Cash at start of the year	699.5	995.3	1,976.7	1,322.0	877.3
						Cash at end of the year	995.3	1,976.7	1,322.0	877.3	2,422.7
							0.0	(0.0)	-	-	-
Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	715.4	717.0	720.0	720.0	720.0	OPM	4.6	4.1	4.8	5.4	6.1
CCPS	-	-	-	-	-	NPM	1.58	0.97	0.91	1.32	2.14
Reserves	4,731.1	4,964.0	5,184.0	5,657.8	6,739.1	Tax rate	(31.7)	(23.9)	(24.6)	(25.2)	(25.2)
Net worth	5,446.5	5,681.0	5,904.0	6,377.8	7,459.1	Growth Ratios (%)					
MI	54.3	28.0	3.0	8.8	19.9	Net Sales	(9.9)	(6.0)	25.1	21.2	19.2
Non Current Liabilities	1,377.0	1,963.1	2,838.0	3,121.8	3,434.0	Operating Profit	4.6	(15.2)	47.4	34.5	35.5
Current Liabilities	7,340.6	9,198.6	10,565.0	11,390.2	12,526.0	PBIT	(34.4)	(47.6)	42.0	82.5	74.8
TOTAL LIABILITIES	14,218.4	16,870.7	19,310.0	20,898.6	23,439.0	PAT	(35.7)	(42.0)	16.0	76.4	92.9
Non Current Assets	4,353.8	4,828.0	6,989.0	6,482.1	5,501.4	Per Share (Rs.)					
Fixed Assets	2,621.4	3,783.0	5,410.0	4,958.8	3,899.1	Net Earnings (EPS)	7.70	4.46	5.15	9.08	17.52
Goodwill	43.3	43.0	43.0	43.0	43.0	Cash Earnings (CPS)	18.0	17.0	23.8	30.0	39.6
Non Current Investments	31.4	-	-	-	-	Dividend	1.5	-	-	-	-
Deferred Tax Asset	199.7	221.0	269.0	144.0	144.0	Book Value	76.1	79.2	82.0	88.6	103.6
Long Term Loans and						Free Cash Flow	(22.6)	4.8	(1.8)	(3.6)	25.6
Advances	-	-	-	-	-	Valuation Ratios					
Other Non Current Assets	1,458.0	781.0	1,267.0	1,336.3	1,415.2	P/E(x)	66.8	115.4	99.8	56.6	29.3
Current Assets	9,864.6	12,042.7	12,321.0	14,416.5	17,937.6	P/B(x)	6.8	6.5	6.3	5.8	5.0
Current investments	-	551.0	1,161.0	1,161.0	1,161.0	EV/EBIDTA(x)	23.8	27.6	19.5	14.8	10.5
Inventories	-	-	-	-	-	Div. Yield(%)	0.3	-	-	-	-
Trade Receivables	5,356.3	4,856.0	4,794.0	6,779.1	8,078.5	FCF Yield(%)	(4.4)	0.9	(0.4)	(0.7)	5.0
Cash and Bank Balances	995.3	1,976.7	1,322.0	877.3	2,422.7	Return Ratios (%)					
Short Term Loans and						ROE	10%	6%	6%	10%	17%
Advances	150.0	-	-	-	-	ROCE	11%	5%	6%	11%	17%
Other Current Assets	3,363.0	4,659.0	5,044.0	5,599.1	6,275.5						
TOTAL ASSETS	14,218.4	16,870.7	19,310.0	20,898.6	23,439.0						

Source: Dalal & Broacha Research, Company

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